

ation in the formal sector. “This election has shown that welfareism has run its course. India does not have to choose between manufacturing and services for job creation but can use both,” he says.

PUSH FOR PLI

There are expectations that the Budget will announce changes in the PLI scheme that aims to boost private investment in domestic manufacturing and include MSMEs in its ambit. This is expected to have a huge impact on job creation as MSMEs are one of the largest employers. Fresh PLI schemes in labour-intensive sectors such as toys could also be announced. The PLI scheme in 14 sectors with a total incentive outlay of ₹1.97 lakh crore had registered investments of ₹1.03 lakh till November 2023. But, apart from electronics, which has garnered a strong response, several sectors such as batteries for electric vehicles and automobiles are yet to gain traction.

Another focus area is likely to be the rural economy and sources indicate that an increase in allocations for schemes such as rural road construction often has a multiplier effect in creating jobs. Ramendra Verma, Partner at Grant Thornton Bharat, points out that while the PLI scheme has seen reasonable success, it should be extended to include MSMEs, particularly micro businesses such as individuals, self-help groups (SHGs) and Joint Liability Groups (JLGs). “This would not only give a boost to manufacturing but also create jobs in rural areas. At present, most of the government-induced job creation in rural areas is through the MGNREGA scheme,” he says. If the government could come up with an innovative way to generate jobs by tweaking a PLI scheme for MSMEs, SHG and JLGs, it can help India in countering

RIISING SHARE OF EDUCATED YOUTH AMONGST UNEMPLOYED

82.9%

Share of youth in
the total unemployed
in the country

65.7%

Share of secondary and
above educated youth in
total unemployed youth
in 2023, against 35.2%
in 2000

18.4%

Unemployment rate
amongst those edu-
cated to secondary and
above levels

29.1%

Unemployment rate
among graduates; 34.5%
among female graduates

SOURCE INDIA EMPLOYMENT
REPORT 2024

Chinese imports and improving trade deficit, he explains.

The issue of job creation and a tweak in the PLI scheme were a part of the pre-Budget discussions Finance Minister Nirmala Sitharaman had with industry, economists, and trade unions. Ashwani Mahajan, National Co-convenor of the Swadeshi Jagaran Manch, who attended the discussions, says that those present at the meeting were appreciative of the government's efforts on fiscal prudence despite the lower-than-expected nominal GDP growth. But job creation was a major issue.

“In the past few years, the government had given a push to private investments through PLI. Now, in the second phase of the scheme to boost Atmanirbhar Bharat, self-reliance and import substitution, PLI should be in tune with the requirements of MSMEs. This will give a push to job creation and private investments,” he says, adding that there is also a need to increase R&D in agriculture as rural unemployment is a major issue even globally.

Industry association CII in its pre-Budget suggestions has called for a thrust on agriculture and rural development, including the creation of non-farm rural jobs by encouraging village-level entrepreneurs and developing integrated rural business hubs. It had also suggested an employment-linked incentive scheme for labour-intensive sectors with high growth potential, with inducements linked to employment generation.

WAYS AND MEANS

There have also been discussions about a possible review of the National Apprenticeship Promotion Scheme (NAPS) to help enrol more youth and in-